STATE OF NEW YORK
DEPARTMENT OF PUBLIC SERVICE

Case 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

Case 18-M-0270 - Petition for Approval Pursuant to Public Service Law Section 113(2), of a Proposed Allocation of Certain Tax Refunds between KeySpan Gas East Corporation d/b/a National Grid and Ratepayers.

STAFF REPLY STATEMENT

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STAFF REPLY STATEMENT

I. INTRODUCTION

On May 14, 2021, The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) filed, on behalf of the Signatory Parties, a Joint Proposal in the above captioned proceedings. On June 2, 2021, parties to the above captioned proceedings filed Statements in Support of or Opposition to the Joint Proposal (Initial Statements). In this Reply Statement, Staff responds to a number of the claims raised in parties' Initial Statements.

II. OVERALL RESPONSE TO STATEMENTS IN OPPOSITION

1. Overall Summary

The Joint Proposal recommends a reasonable and balanced resolution of all the issues raised in Cases 19-G-0309, 19-G-0310, and 18-M-0270. Staff recognizes that it does not please all the parties to these proceedings, but it does present a resolution that includes provisions addressing, though not necessarily adopting, many parties positions, whether or not those parties support or oppose the Joint Proposal. Staff's Initial Statement described many of these benefits of the Joint Proposal, and so this Reply statement will not rehash them.

Despite the balanced resolution presented in the Joint Proposal, a number of parties do oppose it. Some oppose specific provisions of the Joint Proposal.[1] This Reply

[1] See, e.g., BSC Owner LLC (BSC Owner) Initial Statement.

Statement responds to opposition to specific provisions of the Joint Proposal in Section III, below. In this section, Staff addresses some of the more general positions opposing the Joint Proposal. Some general opposition is rooted in the position that the Joint Proposal does not do enough to shift from fossil fuels.[2] Relatedly, some oppose rate recovery for any new gas infrastructure.[3] Others are concerned that the Joint Proposal provides for any rate increases.[4] A number of parties assert that rates should specifically be lower for customers in the vicinity of certain utility or municipal infrastructure.[5]

First, Staff understands the need and desire to shift from fossil fuels to more environmentally sustainable energy sources. The Climate Leadership and Community Protection Act (CLCPA) provides a clear target of 2050 to reduce greenhouse gas (GHG) emissions to 15% of their 1990 levels.[6] This is not disputed. Indeed the Joint Proposal enables the Companies to take actions to decrease GHG emissions, or at least the intensity of GHG emissions, over the term of the rate plans by providing rate recovery for such efforts as: accelerated energy efficiency programs, demand response programs, leak detection and repairs, and leak-prone pipe removal. Moreover, these proceedings are about rates for the Companies' gas service and ensuring that the Companies are able to continue to provide safe and adequate service to their customers over the next few years. Thus, some parties are free to take maximalist positions, such as "[o]ur demands are simple: we want a plan to get off gas and we want a commitment to build no new fossil fuel infrastructure."[7] However, Trial Staff does not have that luxury.

Trial Staff's role is to present a position to the Commission that balances long-term goals with the need to ensure safe and reliable service in both the short-term and the long-term. Approximately 1.9 million customers rely on the Companies' gas service for various purposes, most importantly heating their homes in the winter, which creates the most stress on the Companies' transmission and distribution networks. Those networks are designed to ensure reliable service when the weather is at the worst it can be expected to be in the Companies'

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2 See, e.g., Deni Robey Initial Statement; Newtown Creek Alliance (NCA) Initial Statement.

3 See, e.g., Robert Wood, et al. (Wood) Initial Statement, p. 6; Margot Spindelman Initial Statement, p. 1.

4 See, e.g., Barbara Hertel Initial Statement.

5 See, e.g., NCA Initial Statement.

6 NY Environmental Conservation Law §75-0107(1)(a).

7 Wood Initial Statement, p. 6.

service territories. If the networks do not have adequate capacity and supply at peak times, pressures drop, and the Companies must curtail – cut off – some portion of their customers. Those customers then have to go without their primary source of heat. Furthermore, the process of restarting gas service after a curtailment is time consuming and labor intensive, as the Companies must send personnel from customer to customer, to ensure safety when restarting gas service to those customers.

Staff supports efforts to use energy efficiency and demand response programs to lessen the need for new infrastructure in order to ensure the Companies' can continue to meet their customers' peak demand. This is why Section IV.3.22 of the Joint Proposal provides for accelerated energy efficiency programs and a growing demand response program. However, the costs of pursuing sufficient energy efficiency, demand response, and electrification measures would be significant. Moreover, Staff recognizes that such efforts likely cannot completely eliminate the need for additional infrastructure at the present time. Thus, the Joint Proposal also includes provisions regarding the Long-Term Capital Capacity Projects This balanced approach advances energy efficiency and demand response measures while also ensuring that customers can depend on their gas heating during upcoming winters.

Turning to rate levels, some parties assert that rates should not be increased at all, yet other parties desire for additional spending on energy efficiency and demand response programs would require higher rates than those set forth in the Joint Proposal. Trial Staff, again, has the responsibility of balancing the need to keep customers' bills as low as possible, particularly in light of the ongoing impacts of the COVID-19 pandemic, with the need to set rates at a level that allows the Companies to recover the cost of providing reliable gas service. Yes, this includes an opportunity to earn a reasonable return on the Companies' investment, although the Companies are not guaranteed that they will receive that return. The Joint Proposal recommends a resolution of these cases that reflects a reasonable balance of these concerns.

Some parties suggest that customers in the vicinity of certain of the Companies' infrastructure, and also certain municipal infrastructure are burdened by that and therefore should be charged lower rates.[8] Such an approach is novel. Generally, rates are designed on a "cost causation" basis, where the costs a customer class creates are recovered through the rates

[8] See, e.g., NCA Initial Statement, p. 1.

charged to that customer class. To Staff's knowledge it has not been presented in any testimony or evidence presented in these proceedings. Rate design is complex and every customer or class of customers' rates are interconnected. Such narrowly geographic rates cannot be reasonably implemented at this late stage in these proceedings.

A final issue raised by Alliance for a Green Economy (AGREE), suggests that, in considering the Joint Proposal, the Commission should consider the indoor emissions of gas appliances in end-users dwellings.[9] To Staff's knowledge, this issue was not raised in testimony or the litigation phase of these proceedings. It is not practical to assert a complex new issue at this late stage of these proceedings. Furthermore, rate cases do not generally address particular end-user appliances, thus it is unclear that, even if raised earlier in these proceedings, it could realistically be addressed in a rate proceeding.

In sum, a number of parties have signed the Joint Proposal, including those, such as NY-GEO, with an interest in facilitating heating electrification, and the Environmental Defense Fund (EDF) with an interest in environmentally beneficial regulation. Yes, there is opposition to the Joint Proposal from a number of parties as well. However, the Commission should consider the Joint Proposal holistically. In doing so, the unavoidable conclusion is that the Joint Proposal recommends a reasonable, balanced resolution of all the issues presented in these proceedings. It does not please everyone. Indeed, given the history of these particular cases, it is doubtful any Joint Proposal could please everyone. However, it does present rates that are just and reasonable, and that enable the Companies to continue to provide safe and adequate service. It advances the Commission's and State's policies, including those related to GHG emissions and energy efficiency. Accordingly, the Joint Proposal should be adopted without modification.

2. Comments Regarding Case 19-G-0678

A number of parties express frustration with the current status of Case 19-G-0678. Some point to language from the Settlement Agreement that states: "National Grid agrees that a long-term option or options should be identified and agreed to by the State of New York by June 2020 to allow a safe adequate construction and transition period and have the long-term option or

[9] AGREE Initial Statement, pp. 11 – 12.

options in place and functioning in approximately two years."[10] Various parties note that comments filed in 19-G-0678 opposed any new infrastructure.[11] Wood asserts that, in consequence of there not being an option or options "agreed to by the State of New York" in Case 19-G-0678 the resolution of these rate cases includes the "matter of that infrastructure itself."[12]

Staff is not unsympathetic to the strongly held positions of certain parties in these proceedings. However, they present an inaccurate understanding of Case 19-G-0678. The key language the parties point to states "National Grid agrees that a long-term option or options should be identified and agreed to by the State of New York…." First, this only state's National Grid's position: "National Grid agrees…." It does not state the position of the Department. Second, it is purely aspirational, as it states the option or options "should," not shall, be identified and agreed. Third, it states "by the State of New York." While the Department of Public Service (Department) and Public Service Commission (Commission) are components of the State of New York, they have only the jurisdiction conferred upon them by the Public Service Law (PSL). In the case of the long-term option or options to ensure safe and reliable gas service in the Companies' service territories, the Department's and Commission's role is review infrastructure and programs for prudence and to provide rate recovery. Other state agencies, such as the New York State Department of Environmental Conservation (DEC) may be required to consider permits for various options. Further the City of New York, through one or more of its agencies may be required to consider permits as well. Such issues could never be resolved through Case 19-G-0678, nor can they be resolved through these rate proceedings: they simply are not within the purview of the Department of Commission.

The Joint Proposal does recommend rate recovery, or mechanisms to further review rate recovery for programs and infrastructure that will enable the Companies to continue to provide safe and adequate service to customers, including reliable service to meet peak customer demand. For example, Section IV.3.22 of the Joint Proposal provides for the Demand Capacity Surcharge, which provides a process through which the Companies can conduct

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[10] See, Wood Initial Statement, p. 3; 19-G-0678, Denial of Service Investigation, Order Adopting and Approving Settlement (issued November 26, 2019), Exhibit A, p. 5.

[11] See, Sane Energy Project (SEP) Initial Statement, p. 10; AGREE Initial Statement, p. 15.

[12] Wood Initial Statement, p. 3.

accelerated energy efficiency programs and demand response programs and recover the costs of those programs. These programs and the rate recovery mechanism were not discussed in testimony or anywhere else in the litigation phase of these proceedings. Only through this Joint Proposal have they been developed and presented to the Commission. These programs are intended to help lower the forecasted peak customer demand in the coming years.

However, these programs are not enough, in and of themselves, to close the forecasted gap between peak customer demand and capacity. Thus, the Joint Proposal also allows for cost recovery of certain Long-Term Capital Capacity Projects, subject to certain conditions: a supplemental review of the need for the projects, and the Companies' attainment of certain Demand Capacity Metrics reflecting energy efficiency, demand response, electrification, and non-pipe alternative efforts. The Long-Term Capital Capacity Projects that have been the subject of testimony and evidence in these rate proceedings. These are gas infrastructure projects, including compressed natural gas (CNG), liquified natural gas (LNG) and certain on system pipeline projects.

Staff recognizes the many comments from the public, and the positions of a number of parties to these proceedings objecting to any new gas infrastructure. The Joint Proposal does not ignore these comments. However, the Joint Proposal reflects the need to ensure safe and adequate service, and particularly reliable service when the Companies' systems have peak customer demand.

As explained in Section III.3.22.1, below, it is simply not feasible at this time to rely solely on energy efficiency and demand response programs to ensure the Companies will be able to reliably meet peak customer demand. First, reliance on certain decreases in demand as a result of energy efficiency and demand response at the scale required is fairly untested at present. Both energy efficiency and demand response programs require customer cooperation and participation. Demand response programs require customers to provide load relief during specified times for a specified incentive, and requires that the incentive be worth more to the participant than the costs of providing such load relief. Energy efficiency programs require customers to be willing to accept the offered incentives for replacing less efficient equipment with more equipment with greater efficiency. Should customers not participate in the program at the levels anticipated, pressures in the Companies' networks may drop during periods of peak customer demand, requiring that the Companies curtail customers. Second, even assuming the

Companies can achieve participation in the programs at the scale required, the costs would be significant. Relatedly, Staff expects that the Companies would not be able to achieve the scale of savings required at the historical and forecasted program run rates. Instead, the Companies would likely have to expend a greater amount of money per Dth achieved to meet such a large scale of energy savings. In these cases, the rate years are amid the continuing impacts of the COVID-19 pandemic. It simply is not practical to ask customers to pay more for these programs in their bills at the present time.

3. Climate Leadership and Community Protection Act

Certain parties assert that the in considering the Joint Proposal, the Commission must make findings identified in CLPCA §§7(2) and 7(3).[13] In addressing these positions, it is important to reflect on what action the Commission would be taking if it adopts the terms of the Joint Proposal. The Commission would be authorizing rate recovery for certain of the Companies' capital expenditures, but it would not be issuing any permits or otherwise actually authorizing construction. Further, the Commission would be adopting provisions that increase the Companies' energy efficiency, demand response, and electrification efforts. The Commission is not, and cannot take any action requiring that end users of the gas delivered by the Companies curtail their usage. Such actions are not within the scope of these rate proceedings.

The CLCPA is not explicit regarding whether the Commission's adoption of a rate order falls within the covered actions of CLCPA §§7(2) and 7(3).[14] Both of those provisions refer to actions where state agencies are "considering and issuing permits, licenses, and other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts…." A rate order merely sets rates, authorizing the recovery of a utility's prudently incurred expenses necessary to provide safe and adequate service. With regard to capital expenditure projects, other entities, such as DEC issue any permits required for construction and operation of the projects. Accordingly, the Commission's adoption of a rate order may not fall within the actions identified by CLCPA §§7(2) and 7(3).

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[13] See, EDF Initial Statement, p. 5; AGREE Initial Statement, p. 6 – 11.

[14] This statement specifically regards the adoption of a rate order. Other Commission actions, such as the approval of the siting of electric or gas facilities subject to PSL Article 7 understandably fall within the actions contemplated by CLCPA §§7(2) and 7(3).

Assuming solely for the sake of argument that authorizing rate recovery for particular capital expenditures is an action that falls within CLCPA §7(2), Staff offers that the Joint Proposal is consistent with CLCPA §7(2). Importantly the Joint Proposal provides rate recovery for repairs of leaks on, and removal of leak prone pipe from, the Companies' networks. This reduces emissions of methane. Additionally, the Joint Proposal enables accelerated energy efficiency and demand response measures and commits the Companies' to electrification efforts. These measures help to minimize the GHG emissions of end users of the Companies' gas networks.

The Joint Proposal does provide a mechanism for recovery of the Long-Term Capital Capacity Project costs, that mechanism requires additional demonstration that these projects are necessary to preserve the reliability of the distribution networks when strained by peak customer demand. If that need is demonstrated through the additional review to be conducted at the direction of Staff by a consultant independent of the Companies, then, to not proceed with the projects would jeopardize the Companies' ability to provide safe and adequate service to customers when needed most, when outside temperatures are at their lowest and customers are dependent on natural gas to heat their homes. PSL §65 requires the Companies to provide safe and adequate service to customers. Further, experience with the Companies' recent moratorium on new gas connections demonstrates that customers continue to seek gas service. When they do, current statutory laws require that the Companies provide service.[15]

Thus, assuming for the sake of argument that allowing recovery of the costs of the Long-Term Capital Capacity Projects would be inconsistent with §7 of the CLCPA, the cost recovery is only being allowed due to the necessity of the Long-Term Capital Capacity Projects to ensure safe, adequate, and reliable service to customers to meet a basic life need, warm shelter during cold weather. Any GHG emissions from the use of gas supplied to end users via the Long-Term Capital Capacity Projects are not a foregone conclusion. Thus, the structure of the cost recovery mechanism includes mitigation measures. The Joint Proposal limits the Companies' ability to recover these projects' costs if the Companies do not meet energy efficiency, demand response, non-pipe alternative, and electrification metrics. Tying cost recovery of projects that are deemed necessary to provide safe and adequate service to the

[15] PSL §31; Transportation Corporations Law §12.

Companies' performance on these metrics is unprecedented. To Staff's knowledge, a similar measure has not been imposed in recent litigated rate cases, and thus, likely is only possible through adoption of the terms of this Joint Proposal. These efforts place the Companies in a strong position to follow through and encourage end users to use less gas.

Assuming solely for the sake of argument that authorizing rate recovery for particular capital expenditures is an action that falls within CLCPA §7(3), adoption of the Joint Proposal would be consistent with §7(3). Opposing parties only assert that Metropolitan Reliability Infrastructure (MRI) project Phase 1 through Phase 4, and the Greenpoint LNG facility, are located in disadvantaged communities.[16] On that limited basis, they assert that allowing cost recovery for those projects violates CLPCA §7(3). However, CLCPA §7(3) states that covered actions "shall not disproportionately burden disadvantaged communities."

There is no evidence in these cases that the location of MRI project Phase 1 through Phase 4 or the proposed projects at the Greenpoint LNG facility "disproportionately burden disadvantaged communities." As discussed further in Section III.5.3.1, below, the MRI project was reviewed in the 2016 Rate Cases and included in the capital expenditure budgets authorized in the 2016 Rate Order.[17] Thus, the rate recovery for Phase 1 through Phase 4 is only the last step in a process that commenced well in advance of the CLCPA's enactment. It is unclear what burden KEDNY's safe and adequate operation of the buried MRI Phase 1 through Phase 4 pipeline creates. Additionally, no parties have suggested that there is an alternate route that could have been used that would have imposed less burden on disadvantaged communities.

Similarly, the Greenpoint LNG facility has been in operation for decades. The projects identified in these rate proceedings upgrade, but do not substantially modify the structure or the burdens it places on the surrounding community. While some parties advocate its immediate retirement,[18] as explained in Section III.5.2, below, the Greenpoint LNG facility and the proposed upgrades enable the Companies to provide safe and adequate service, especially during periods of peak customer demand. Retiring the facility at the present time is

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[16] See, AGREE Initial Statement, pp. 10 – 11.

[17] Cases 16-G-0059 and 16-G-0058, KEDNY and KEDLI – Rates (filed January 29, 2016) (2016 Rate Cases); Cases 16-G-0059 et al., supra, Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans (issued December 16, 2016) (2016 Rate Order).

[18] SEP Initial Statement, p. 10.

simply not an option. Parties have provided no feasible alternatives to the continued use of the Greenpoint LNG facility.

Accordingly, it is unclear that CLCPA §§7(2) and 7(3) apply to the Commission's adoption of a rate order in general, or the terms of the Joint Proposal in particular. Regardless, the Joint Proposal provides a resolution of the issues raised in these proceedings that is consistent with the goals and intent of the CLCPA in general, and with §§7(2) and 7(3) in particular.

III. ELEMENTS OF THE JOINT PROPOSAL[19]

3. Revenue Allocation and Rate Design

3.1 Revenue Forecast

AGREE objects to the gas forecast recommended by the Joint Proposal. AGREE claims that, as the recommended gas forecast predicts an increase in natural gas usage, approval of the gas forecast would mean approval of increasing gas sales.[20] AGREE further asserts that this means the gas forecast and the Joint Proposal are inconsistent with the CLCPA.[21] Therefore, AGREE argues that the Commission should require that the Companies develop gas forecasts that reflect gas sales having zero or negative growth and that the Commission should not approve any gas infrastructure projects that rely on the gas sales forecast.[22]

AGREE's claims regarding the gas sales forecast recommended by the Joint Proposal are incorrect and display a misunderstanding of the purpose of gas sales forecasting. The forecast of gas sales is not intended to reflect what the parties hope will happen, but instead to reflect what the Companies are most likely to experience in the Rate Years, which includes the fact that demand for gas is still increasing. The gas infrastructure projects recommended by the Joint Proposal would be necessary to meet gas demand even if the gas sales forecast was artificially adjusted to predict lower gas usage growth.[23] To accept AGREE's proposal and adjust the gas sales forecasts to reflect zero or negative growth would not change the actual gas

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[19] In order to facilitate the reader's comparison of the actual provisions of the Joint Proposal with the discussion of those provisions in this Reply Statement, the headings in this section generally correspond to the headings in Section IV of the Joint Proposal.

[20] AGREE, Initial Statement, p. 8.

[21] AGREE Initial Statement, p. 8.

[22] AGREE Initial Statement, p. 10.

[23] See Sections III.5.2 and III.5.3, below, for discussions of the infrastructure projects.

sales during the Rate Years. Decreasing the sales forecasts would, however, have the effect of increasing revenue requirements, which would require setting higher rates. The higher rates would likely result in the Companies collecting more revenues than forecast. Then, for those classes subject to a revenue decoupling mechanism, the excess revenues would be returned in the following year, resulting in needless rate volatility. Therefore, the gas sales forecasts recommended by the Joint Proposal are appropriate and should be adopted.

3.4 Rate Design – Firm Service Classifications

BSC Owner, also known as Spring Creek Towers or Starrett City, asserts that the rate increases to it are unreasonably high.[24] BSC Owner states that it takes firm gas service from KEDNY under service classification (SC) 21 Rate 3 to run a combined heat and power, or co-generation system, producing electrical power and chilled water using two six-megawatt steam turbines.[25] BSC Owner avers that "the rate increase will be 6.8% in RY2 and an increase of 23.44% in RY3, compared to "costs in 2020."[26] Further, BSC Owner asserts that, beginning in November 2021, 251,131 dekatherms of its annual consumption will be served separately under SC 3. BSC Owner claims that, for the SC 3 usage, the customer "will face increases of" 14.98% for RY2 and 21.54% for RY3, "compared to 2020."[27]

BSC Owner asserts that it is receiving higher average impacts than other service classes.[28] It states there are two significant contributors to the magnitude of its rate increase. First, BSC Owner states that most of the increase in RY2 versus RY1 comes from "the Demand Capacity Surcharge and Tax reform [sic] which accounted for 86.6 percent ($142,584) of the total increase of $164,534. The demand surcharge pays for National Grid's energy efficiency and demand response programs."[29] Second, BSC Owner explains that SC 21 Rate 3 includes "a demand charge which was increased by 8 percent for the period Aug'21-March'22 and another 3.3% for the period Apr'22-Mar'23." BSC Owner asserts that KEDNY's SC 21, Rate 3 is the

[24] BSC Owner Initial Statement, p. 1.

[25] BSC Owner Initial Statement, p. 2. Staff understands that BSC Owner's facilities have a 10 MW nameplate capacity, which is used to assess the SC 21 Rate 3 demand charge.

[26] BSC Owner Initial Statement, p. 2.

[27] BSC Owner Initial Statement, p. 2.

[28] BSC Owner Initial Statement, p. 2.

[29] BSC Owner Initial Statement, p. 3.

only co-generation service classification within New York State that pays a demand charge.[30] While BSC Owner asks that its rates be decreased generally, it only proposes changes to the demand charge. It prefers that the Commission eliminate the demand charge. In the alternative, BSC Owner proposes that the demand charge should be set, not on the nameplate capacity of its equipment, but rather on verified actual peak demand.[31]

As an initial matter, BSC Owner avers that it "fully participated in this rate proceeding." A review of the Commission's record for Case 19-G-0309 and 19-G-0310 shows that, while BSC Owner has been a party to these proceedings since at least June 3, 2019. To Staff's knowledge, however, BSC Owner submitted no testimony or briefs in the litigation phase of these proceedings. That BSC Owner did not take any positions in litigation makes it difficult to understand, investigate, and respond to its concerns at this stage in the proceedings.

Next, Staff does not agree with BSC Owner's purported bill impacts. Although Staff made multiple attempts, it could not reproduce the bill impacts claimed in BSC Owner's Initial Statement. It appears, however, that BSC Owner is focused on delivery-only impacts. Such an analysis does not tell a complete story of a customer's natural gas energy bill. A customer's bill consists of both delivery and commodity service, regardless of the supplier of the commodity itself, i.e., KEDNY or an energy services company. A more appropriate assessment of bill impacts is to look at the total monthly bill impacts for SC 21 Rate 3. Staff describes these total monthly bill impacts below and summarizes them in Appendix 1 to this Reply Statement.

BSC Owner ignores that, presently and under the Joint Proposal's recommendations, it is paying rates that are very low compared to other KEDNY customers. Indeed, BSC Owner's service is subsidized by customers in other service classes, which is a significant benefit. The Embedded Cost of Service study shows that, for KEDNY's SC 21 Rate 3, also referred to as "SC 21 DG Large," the unitized rate of return under current rates is negative 5.28, more than six times lower than the system average.[32] This means that the two SC 21 Rate 3 customers are not making an equitable payment towards the operation of the gas system. All other customers are therefore subsidizing customers receiving the SC 21 Rate 3, a significant benefit to BSC Owner. Staff estimates that, as shown in Appendix 1 to this Reply Statement, to

[30] BSC Owner Initial Statement, p. 3.

[31] BSC Owner Initial Statement, pp. 3 – 4.

[32] Joint Proposal, Appendix 3, Schedule 2.2, p. 1.

bring SC 21 Rate 3 to the edge of the tolerance band or a unitized rate of return of 0.75, would require allocating an additional $2.2 million in revenues to SC 21 Rate 3, or approximately double the current revenues recovered from SC 21 Rate 3 customers.[33]

In the revenue allocation process, corrections are made to move service classes that are under and over-retuning toward the system average. For RY2, the Joint Proposal allocated an 8.7% increase to service classes that are under returning, a 6.6% increase to classes that are within the tolerance band and no increase to classes that are over returning. Multiple service classes had unitized rates of returns below the tolerance band. For those service classes, the Joint Proposal allocates a higher than average delivery percentage increase to make some correction for those return imbalances.[34] Yet, even though other customers are currently providing a material subsidy to SC 21 Rate 3 customers, the Joint Proposal did not allocate a higher than average delivery increase to this service class. Thus, BSC Customer only received an average delivery increase and the subsidy from customers in other service classes remains more or less unchanged. This is a significant a benefit for BSC Owner. SC 21 Rate 3 was allocated a 6.6% increase, or about $155,000, to limit the impact to BSC Owner.[35] As shown in Appendix 1 to this Reply Statement, if the BSC Owner was allocated an 8.7% increase, based on the revenue increase recommended in the Joint Proposal, it would have resulted in an increase of about $204,000. Assessing an average allocation of the delivery increase to SC 21 Rate 3 reduced BSC Owner's delivery increase by approximately 24%, or about $49,000, compared to the increase for RY2 if calculated using the methodology KEDNY proposed in litigation.[36] Staff believes this is a reasonable outcome, particularly in light of the continuing impacts of the COVID-19 pandemic. It limits the increase to BSC Owner, which includes residential housing for low- and moderate-income persons, while at least not exacerbating the subsidy customers in other service classes currently provide to BSC Owner.

The energy efficiency component of the Demand Capacity Surcharge Mechanism is allocated to all firm commercial and industrial customers based on service class usage – all commercial and industrial customers are assessed the same rate per therm to recover the costs of

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33 Joint Proposal, Appendix 3, Schedule 2.2, p. 1, l. 13.

34 Joint Proposal, Appendix 3, Schedule 2.2, p. 1, l. 19.

35 Joint Proposal, Appendix 3, Schedule 2.2, p. 1, l. 19.

36 T. 2660.

energy efficiency through the Demand Capacity Surcharge Mechanism. This program cost allocation is reasonable because energy efficiency measures reduce total usage. Demand response and long-term capacity project costs are allocated based on each service classes' peak sendout, which is reasonable because these programs target peak usage reduction or peak supply additions, respectively.

The BSC Owner's assertion that KEDNY's SC 21 Rate 3 is the only co-generation service classification that pays a demand charge in New York State is false. In Case 02-M-0515, the Commission required utilities to institute a demand charge for baseload distributed generation units with a nameplate capacity of equal to or greater than five MW.[37] At this point in the proceeding, without having the opportunity to further study the impacts of rate design changes on SC 21 Rate 3 and other classes, it is too late to modify the demand charge for SC 21 Rate 3, although KEDNY could study this issue in its next base rate case. Any attempt to modify the rate design for the BSC Owner may lead to unintended impacts to other customers within the class or further exacerbating subsidy provided to SC 21 Rate 3 customers by customers in other service classes as demonstrated by the service class unitized rate of return.

Staff believes BSC Owner has a strong incentive to conserve usage with the current demand charge because it calculates that 92% of BSC Owner's SC 21 Rate 3 total bill is volumetrically charged, as shown in Appendix 1 to this Reply Statement. Moreover, Staff understands that KEDNY has energy efficiency and demand response programs available to the BSC Owner in both SC 3 and SC 21 Rate 3 to reduce its usage. These efforts are particularly important given that the Companies' service territories are capacity constrained. Therefore, the total bill impacts to the BSC Owner are reasonable, considering the capacity constraints, the proposed revenue allocation, and the current $2.2 million subsidy that other service classes are already providing to SC 21 Rate 3.

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[37] Case 02-M-0515, Proceeding to Establish Gas Transportation Rates for Distributed Generation Technologies, Order Providing for Distributed Generation Gas Service Classifications (issued April 24, 2003), pp. 7 – 8. The distributed generation service classifications for each gas utility can be found in each of the utilities' tariffs. See, gas tariff leaves: 427.28 for KEDNY; 215 for KEDLI; 215.1 for Niagara Mohawk Power Corporation d/b/a National Grid; 154.6 for Consolidated Edison Company of New York, Inc.; 94.9 for Orange and Rockland Utilities, Inc.; 113.1 for New York State Electric & Gas Corporation; 134.2 for Rochester Gas and Electric Corporation; 127 for National Fuel Gas Distribution Corporation; 223 for Corning Natural Gas Corporation; and, 311 for St. Lawrence Gas Company, Inc.

3.22 Demand Capacity Surcharge Mechanism

While not opposing the Joint Proposal, Public Utility Law Project of New York, Inc. (PULP) expressed concern that the Demand Capacity Surcharge Mechanism could lead to ratepayer impacts unanticipated in the Joint Proposal.[38] However, the Joint Proposal provides specific caps on the amounts that can be recovered through the energy efficiency, demand response, and Long-Term Capital Capacity Projects components of the Demand Capacity Surcharge Mechanism. Additionally, the Joint Proposal provides bill impact tables in Schedules 4.1, 4.2, and 4.3 of Appendices 3 and 4 for KEDNY and KEDLI, respectively. To ensure that the potential impacts of the Demand Capacity Surcharge Mechanism were fully understood, the bill impact tables include the impact of the Demand Capacity Surcharge Mechanism, assuming recovery of the maximum amounts allowed. Thus, even though the Companies may not actually seek recovery of the maximum allowable amounts through the Demand Capacity Surcharge Mechanism, the potential impacts, should that occur, have been provided in the Joint Proposal.

3.22.1 Energy Efficiency

Several parties who expressed opposition to the Joint Proposal suggested that more energy efficiency programs are necessary to reduce the use of gas.[39] The Commission, in its 2020 NE:NY Order, specifically addresses energy efficiency and allocates targets and budgets to particular utility companies, including KEDLI and KEDNY, that meet the intended principle of an "all cost-effective measures" policy by dramatically scaling up energy efficiency, while establishing budget boundaries to ensure cost containment.[40] The Joint Proposal reflects the authorized budgets in calculating the revenue requirements underlying base rates, consistent with the Commission's directives, and provides a necessary assurance that the planned cost effectiveness levels are achieved and customer rate impacts are appropriately limited.[41] In addition, reflecting the capacity constraints evident in the Companies' service territories, the Joint Proposal recommends allowing to accelerate the energy efficiency targets and budgets

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38 PULP, Initial Statement, p. 2.

39 See, e.g., AGREE Initial Statement, pp. 14 – 15.

40 Case 18-M-0084, A Comprehensive Energy Efficiency Initiative, Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios through 2025 (issued January 16, 2020) (2020 NE:NY Order), p. 4.

41 2020 NE:NY Order, p. 42.

authorized by the 2020 NE:NY Order for the period through 2025.[42] The Joint Proposal also reflects the potential for additional energy efficiency savings through the anticipated interim review of the 2020 NE:NY Order's authorized budgets and energy savings targets.[43] The interim review will commence in 2022 with anticipated Commission action in 2023 to assess the full complement of actions authorized in the 2020 NE:NY Order and make any necessary adjustments. The interim review provides a mechanism to restate targets upwards, if more cost-effective efficiency potential is discovered through in-field experience, performance data, and/or future studies, etcetera.[44] Thus, the Joint Proposal recommends mechanisms that accelerate the energy efficiency programs delivered in the Companies territory while also reflecting the 2020 NE:NY Order's cost containment strategies that focus on achieving quality results while constraining impacts on customer bills. Further increases to energy efficiency, demand response, and electrification efforts could have material, if not excessive impacts on customers' bills. For example, the Companies' identified "no infrastructure" option in their Long-Term Capacity Supplemental Report includes significant costs in addition to already authorized energy efficiency measures. Pursuing that option, relying solely on energy efficiency, demand response, and electrification to ensure that there is sufficient capacity to meet forecasted peak customer demand over the next several years, could cost hundreds of millions of dollars more than pursuing the energy efficiency, demand response, and Long-Term Capital Capacity Projects as recommended in the Joint Proposal.[45]

5. Capital Investment Levels and Operations and Maintenance

5.2 Capital Investment Levels

Capital expenditure projects incorporated in the capital investment levels recommended by the Joint Proposal include a number of projects to upgrade aspects of KEDNY's Greenpoint LNG facility. In its Initial Statement, SEP opposed allowing rate recovery for the replacement of Vaporizers 3 & 4 in FY20 and FY21; the Saltwater Pump House Upgrade in FY20 through FY24; the Tank 2 Upgrade in FY22 through FY24; and the LNG

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42 Joint Proposal, p. 34.

43 Joint Proposal, p. 35.

44 2020 NE:NY Order, p. 59.

45 19-G-0678, supra, Long-Term Capacity Supplemental Report (filed May 8, 2020), p. 20, Figure 4.

Blanket in FY20 through FY24. SEP states that the Greenpoint LNG facility should be retired instead.[46]

The Greenpoint LNG facility is a critical component of KEDNY's gas supply portfolio and gas network used to meet customers' peak day demand. The facility has a total design capacity of 1.6 billion cubic feet of LNG and can supply 290 million cubic feet of gas per day for use in the winter during peak demand conditions. There is no evidence that there are any viable and reliable short-term solutions that would be able to supplant the facility's capacity, which SEP has failed to acknowledge. As such, the support and maintenance projects associated with the Plant are necessary to maintain its safe and reliable operations.

5.3 Long-Term Capital Capacity Projects

The Joint Proposal identified specific capital projects and specified an incremental assessment of the need for these Long-Term Capital Capacity Projects performed by an independent consultant prior to the Companies recovering the revenue requirement impact of those projects through the Demand Capacity Surcharge Mechanism. In addition to the further assessment of need, cost recovery for these projects may be curtailed during the rate plans if the Companies do not meet certain minimum Capacity Demand Metrics. In Initial Statements, various parties raised issues with aspects of the Joint Proposal's provisions regarding the Long-Term Capital Capacity Projects. First, addressed in Section III.5.3.a, below, certain parties asserted that the Long-Term Capacity Projects are not needed to ensure that the Companies can continue to provide reliable service to customers during periods of peak customer demand. Second, addressed in Section III.5.3.b, All Our Energy (AOE) and Benny Woodard (Woodard) seek changes to the process for selecting the independent consultant. Third, addressed in Section III.5.3.c, New York City (NYC) and Woodard request that the comment period be lengthened. Fourth, addressed in Section III.5.3.d, NYC, AGREE, and AARP question why the independent consultant's assessment of need for particular Long-Term Capital Capacity Projects will not be brought to the Commission for a decision. Fifth, addressed in Section III.5.3.1, a number of parties assert that the Companies should not be provided with rate recovery for MRI Phase 1

[46] SEP Initial Statement, p. 10.

through MRI Phase 4.[47] Sixth, addressed in Section III.5.3.2, below, NYC and AOE express concern that the Capacity Demand Metric targets are not stringent enough.

5.3.a Evidence Regarding the Need for the Long-Term Capital Capacity Projects

The Joint Proposal identifies 13 Long-Term Capital Capacity Projects. These include CNG facilities, enhancements to KEDNY's Greenpoint LNG facility, and certain transmission and distribution infrastructure projects. As explained in its Initial Statement, Staff reviewed these projects, and in litigation, supported, with one exception,[48] including these investments in the Companies' capital expenditure budgets and, to the extent they were to begin operation during RY1, including these projects in the model of net plant used to calculate the Companies' rate base.[49] During litigation, and now, Staff understands that the Long-Term Capacity Projects generally enable the Companies to provide safe and adequate service, and ensure that they can continue to reliably meet peak customer demand.[50]

It is important to note that the Long-Term Capital Capacity Projects are not intended to be used every day. They are intended to ensure that the Companies can reliably meet peak customer demand when called upon to do so. Admittedly, the peak customer demand these projects are designed to meet occurs infrequently. Indeed, as it is weather dependent and based on forecasts of customer actions, among other variables. Accordingly, the forecasted peak customer demand may not be fully realized in any given winter over the next decade. However, that does not mean that the forecast of peak customer demand is unreasonable, rather that it is cautious. This caution is appropriate, because if the Companies cannot meet peak customer demand, that would occur on the coldest days of the winter when customers rely on gas service for heating their homes. If peak customer demand on such a cold day exceeds the Companies' capacity to deliver gas, system pressures will drop and the Companies would be required to curtail gas service to at least some customers. Curtailment under these circumstances poses a

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47 See, e.g., SEP Initial Statement, pp. 8 – 9.

48 In its Reply Brief, Staff recommended that KEDLI should pause work on Phase 3 of the Northwest Nassau Transmission Project until such time as all alternative options have been vetted. Staff Reply Brief, p. 38; Staff Initial Statement, p. 65.

49 T. 4712, 4728 – 4729; Staff Initial Statement, p. 65.

50 Staff Initial Statement, p. 65.

risk to customers' health and safety. Because the consequences if the Companies cannot meet peak customer demand are so dire, the Companies must be cautious and ensure that they can meet peak customer demand that is reasonably possible, even if not probable in any given year.

A number of parties, however, claim that the Long-Term Capital Capacity Projects should not be built. Some assert that their construction will prolong reliance on natural gas, which results in GHG emissions that need to be curtailed.[51] For example, NCA asserts that the addition of Vaporizers 13 and 14 at the Greenpoint LNG facility further a dependance of natural gas in the decades to come.[52]

Staff recognizes that needed changes to the way New Yorkers use energy to heat their homes and for other purposes may impact the need for these projects over the next few decades.[53] At the same time, Staff must make recommendations that protect the public interest, by ensuring that the Companies' can provide safe and adequate gas service to customers who depend on that gas for heating their homes over the next several years. Although subject to change as new information becomes available, Staff understands that, in their Long-Term Capacity Supplemental Report, filed in Cases 19-G-0678, the Companies have identified a gap between forecasted peak customer demand and the capabilities of the Companies' current systems to meet that demand beginning as early as the winter of 2023/2024.[54] Indeed, one lesson of the experience with the Companies' imposition of a moratorium on new or additional customers is that there are many people and entities that want gas service. Staff notes that, one benefit of many of the Long-Term Capital Capacity Projects, such as the CNG and LNG infrastructure, is that they can be dismantled in the future once customer usage changes and the infrastructure is no longer needed to meet forecasts of customers' peak demand.

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[51] See, e.g., NCA Initial Statement.

[52] NCA Initial Statement.

[53] For example, Staff notes that the New York City Council is considering a proposed local law (Int 2317-2021) that effectively prohibits the combustion of natural gas, with certain exceptions, in any new building or any building that has undergone a major renovation. At this time, this is only proposed legislation, not an enacted local law. Moreover, by its own terms, it would become effective two years after being enacted, and at that time "it shall not apply to construction work related applications for construction document approval filed prior to such effective date." Accordingly, while this law will have an impact on forecasts of peak customer demand in the future, the point at which that impact will occur is uncertain at this time, and at least a number of years in the future.

[54] 19-G-0678, supra, Long-Term Capacity Supplemental Report (filed May 8, 2020), p 10.

While the Companies did quantify the costs of a no-infrastructure option to address this forecasted demand/capacity gap, as explained in Section III.3.22.1, above, the impact of the costs of the incremental energy efficiency, demand response, and electrification efforts in the near term are significant. Indeed, they materially exceed the cost of the Long-Term Capital Capacity Projects. Thus, relying solely on incremental energy efficiency, demand response, and electrification likely would place untenable upward pressure on the rates paid by customers who rely on gas for heating their homes in the winter, many of whom are low-income and have been significantly impacted by the COVID-19 pandemic.

Moreover, energy efficiency, demand response, and electrification efforts depend on customer action for success. If the Companies relied solely on energy efficiency, demand response, and electrification efforts to close the gap between customer demand and capacity, and if customers do not participate as forecast or desired, the reliability of the system to provide gas to firm customers during periods of peak demand would be compromised. The Companies must ensure that they are able to provide safe and adequate service and meet peak customer demand. That can include constructing additional infrastructure at this time.

Other parties assert that the Companies' forecasts of peak customer demand for the coming years are overstated.[55] Therefore, according to these parties, the Long-Term Capital Capacity Projects simply are not needed as there is no gap to close between peak customer demand and capacity. Parties asserting this specifically point to the reports conducted by Synapse Energy Economics, Inc. and Energy Futures Group (EFG).[56]

Staff notes that the Synapse Report and the EFG Report present the authors' analysis without the authors being subject to discovery or cross-examination in these rate proceedings. As such, it is problematic to rely on that analysis as evidence in these proceedings.

Nevertheless, with regard to the analysis in the Synapse Report, Staff provides the following observations at this time. First, the Synapse Report states that National Grid's customer conversion assumptions are incorrect because "a large number of the buildings using other fuels in NYC have already converted to natural gas to comply with NYC's fuel oil

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[55] AOE Initial Statement, p. 1; SEP Initial Statement, p. 5; Wood Initial Statement, p. 2.

[56] 19-G-0678, supra, Assessment of National Grid's Long-Term Capacity Report (filed April 14, 2020) (Synapse Report); 19-G-0678, supra, Critical Elements in Short Supply, appended to Comments of Sara Gronim (filed March 11, 2020) (EFG Report).

regulation."[57] While it is true that most of the buildings that relied on #6 oil or #4 oil, which is a blend of #2 oil and #6 oil, have converted as part of the NYC Clean Heat Program, Synapse does not recognize the significant number of buildings and single family homes that were using #2 oil and are looking to convert to natural gas. Natural gas prices have remained low compared to #2 oil and even though customers may be using a biodiesel blend which is cleaner burning than traditional #2 oil, the economics surrounding natural gas continue to make it a more attractive option.

Second, Synapse faults reliance on a design day comprised of an average temperature of zero degrees, saying that "the climate is getting warmer on average."[58] As was seen just this past winter in Texas, a warmer overall climate does not rule out the possibility of individual days or small groups of days with record cold, and that is what a gas utility must plan for to ensure safe and reliable service. In fact, the Companies' service territories have actually experienced a day when the average temperature was below zero degrees, on February 9, 1934, the record low in Central Park was -15°F, with a high of 8°F, with an average temperature of -3.5°F. As recently as, February 24, 2016, the temperature at Central park hit a low of -1°F with the average temperature for that day of 7°F.[59] Thus, actual weather experience could argue for planning to ensure reliable service at slightly colder temperatures, something the utilities in Texas failed to do.

Third, Synapse also states that "[o]n the East Coast, where the geology does not allow gas to be stored underground, this usually involves injecting vaporized LNG, CNG, or propane into the distribution system during peak hours of the day."[60] This statement is not entirely accurate. There are several underground natural gas storage facilities in New York State directly connected to the pipelines that serve National Grid, including the Stagecoach Storage Facility. These storage facilities combined with LNG and CNG are all necessary to meet peak day demand. Finally, New York State does not rely on propane facilities to meet peak demand.

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57 Synapse Report, p. 12.

58 Synapse Report, p. 14.

59 See Appendix 2 to this Reply Statement for National Weather Service data sourced from https://www.weather.gov/okx/CentralParkHistorical and https://www.weather.gov/media/okx/Climate/Almanacs/nyc/nycfeb.pdf (accessed June 14, 2021).

60 Synapse Report, p. 16.

With regard to the analysis presented in the EFG Report, it relies heavily on long-term energy outlook forecasts by the Energy Information Administration (EIA) from 2019 to 2030. The EFG Report asserts that, based on long term trends and the EIA forecasts, much less peak day capacity is needed than the Companies project.[61] However, the EIA forecasts are based on a larger geographical area than the Companies' service territories. The Companies' service territories have unique characteristics that have led to more rapid growth than the overall area that is the subject of the EIA forecasts. For example, there is a significant number of homes in the Companies service territories, that currently use fuel oil for heating,[62] and may choose to convert to natural gas, regardless of the Companies' active marketing or conversion programs.

Additionally, the EFG Report asserts that "[w]ith a State target of 70% renewable electric generation by 2030, and the addition of new offshore wind capacity, National Grid's downstate service territory can reasonably expect to see significant declines in demand for gas for electric generation."[63] Staff agrees that there is the potential for a significant decline in demand for gas for electric generation. However, electric generators in the Companies' service territories are interruptible customers, which the EFG Report does acknowledge.[64] The fact is, that since the electric generators do not use gas under peak conditions, changes in their usage do not affect the forecasts of peak demand. Their absence from the system more generally would not impact the need for whatever resources are used to meet peak customer demand.

Finally, Staff acknowledges that the EFG Report correctly explains that increased electrification efforts could reduce peak day demand. Specifically, the EFG Report recommends that National Grid could reduce demand by approximately 50 MDth/day by 2025 through incenting the installation of heat pumps in 80,000 households in their service territories.[65] However, the EFG Report does not quantify the costs of such an effort. As discussed in Section III.3.22.1, above, the Commission has addressed energy efficiency and electrification targets and

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61 EFG Report, p. 7.

62 See Appendix 3 to this Reply Statement for U.S. Census Data sourced from: https://data.census.gov/cedsci/table?q=New%20York%20State%20residential%20heating%20fuel&g=0500000US36047,36059,36081,36085,36103&tid=ACSDT1Y2019.B25040&hidePreview=true (accessed June 14, 2021).

63 EFG Report, p. 11.

64 EFG Report, p. 12.

65 EFG Report, p. 22.

budgets in the 2020 NE:NY Order. The Commission emphasized pursing "all cost-effective efforts" while also containing the costs that would ultimately be paid by utility customers.[66]

Turning now to Staff's review of the Long-Term Capital Capacity Projects and of the evidence presented in these rate proceedings that supports the need for them. Staff thoroughly reviewed the Companies testimony, held meetings with the Companies to understand their forecasting methodologies, system modeling, and issued and reviewed IRs all to investigate the system demand, customer growth, system supply and capacity, and areas of low-pressure concern. Staff reviewed the Companies' sales forecasts provided in testimony and updated multiple times throughout the proceedings. The cases were updated for the settlement agreement between the Companies and DPS Staff in Case 19-G-0678 which lifted the moratorium on new customer connections. When the Companies' moratorium was lifted, customers that requested but were denied new or additional natural gas service began to be connected to the gas distribution system, resulting in associated increases in peak demand. Moreover, as explained earlier, natural gas prices continue to be very low compared to heating alternatives which drives customers to the economic decision to use natural gas.

Staff reviewed all city gate receipt points; specific winter heating season data; historical actual daily heating degree days; storage rule curves that indicate storage withdrawal requirements; weather data location and sources; and forecasted customer demands and the impact of those demand to the gas network via hydraulic modeling. Staff also reviewed the Companies' methodology used to develop the forecasted design day demand and peak day supply portfolio. The Companies also quantified the supply needs forecast of firm customers in a filing made in Case 20-G-0131.[67] Staff confirmed that the Companies' peak design day forecasts and methodologies used were reasonable and that they were similar to those they generally provide as part of the Department's annual winter supply review of all major gas utilities, in the Long-Term Capacity Supplemental Report filed in Case 19-G-0678.[68] Staff concluded that the Companies' peak demand projections and system pressure issues support the

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66 2020 NE:NY Order, p. 4.

67 See, Case 20-G-0131, Gas Planning Procedures, National Grid 90-day Filing (July 17, 2020).

68 Case 19-G-0678, supra, Long-Term Capacity Supplemental Report (filed May 8, 2020), p. 10, Figure 3: Comparison of Downstate NY Forecast Natural Gas Demand and Existing Supply, 2021-2035.

need for the Long-Term Capital Capacity Projects, while also recommending MRI Phase 5 and the Northwest Nassau Transmission Project Phase 3 should be paused.

Accordingly, the evidence presented in these rate proceedings would support a finding that the Long-Term Capital Capacity Projects, in general, are reasonably likely to be needed to ensure that the Companies can continue to reliably meet forecasted peak customer demand. As such, it would be reasonable to include these Long-Term Capital Capacity Projects in the capital budgets and net plant model underlying the base delivery rates presented in the Joint Proposal. In recognition of many parties' opposition to the Long-Term Capital Capacity Projects, however, the Joint Proposal recommends applying additional conditions that the Companies must meet before they can recover the costs of these projects. Yet, certain parties still oppose the CNG, LNG and transmission capital investment projects.

Regarding CNG projects, in their second supplemental filing, the Companies proposed the following additional capital investment projects: (1) CNG – Glenwood Injection Facility Upgrade; (2) CNG – 3rd Site Barrett; (3) CNG - 4th Site Inwood; (4) CNG – Fill Station Staten Island; related to the expanded deployment of portable CNG injections to maintain system pressure during peak conditions. The Companies' proposed these new capital investment projects to meet the gas demand requirements of their customers, with consideration of winter system reliability from potential pipeline delivery shortfalls, such as a compressor station outage. This plan included expanding the Glenwood CNG facility to double its capacity, and adding two additional CNG injection facilities, a third at Barrett, and a fourth at Inwood. The Companies stated that, in conjunction with the aforementioned CNG facility upgrades and additions, a CNG filling station would be required on Staten Island. This station would allow trucks to be filled with CNG for transportation to both KEDLI's and KEDNY's CNG injection sites.

AOE opposes the CNG projects that provide for CNG filling and injection sites. AOE states that transporting CNG is currently illegal in New York City.[69] AOE also asserts that the CNG injection sites on Long Island lack purpose due to the Companies' cancelation of a proposed CNG filling site at Greenpoint.[70]

[69] AOE Initial Statement, p. 1.

[70] AOE Initial Statement, p. 2.

These CNG projects enable additional supply at existing and new facilities owned by the Companies. Both the Glenwood CNG Injection Facility Upgrade project and the new Inwood CNG Injection Facility are complete and in-service. The Barrett CNG Injection Facility is currently under construction. According to the Companies, the Staten Island CNG fill station project has been canceled,[71] however, the Companies still have the means to bring CNG to the injection facilities. Transportation of CNG is not illegal in New York City. According to the NYC Fire Code, CNG is not listed as a prohibited compressed gas, although liquified natural gas is listed as such.[72] These CNG projects provide necessary supply at points on the system capable of receiving such supply to meet forecast customer demand.

Turning to the LNG projects, the Long-Term Capital Capacity Projects identified in the Joint Proposal includes a number of projects related to the Greenpoint LNG facility. Also as noted above, some parties oppose the LNG projects at the Greenpoint LNG facility, including the addition of vaporizers 13 and 14, the replacement of vaporizers 7 and 8, and portable LNG projects, including an LNG truck load/unload station.[73]

KEDNY proposed the replacement of LNG vaporizers 7 and 8 in initial testimony. These are two of six submersible combustion vaporizers at the Greenpoint LNG Plant that vaporize stored LNG into gas, which is then injected into the Company's gas transmission system. Vaporizers 7 and 8 have been in service for approximately 40 years, and the Companies assert that the vaporizers' present condition necessitate replacement to ensure continued operability of the LNG plant at existing levels.[74] In the absence of immediate alternatives, not refurbishing or replacing the vaporizers, is not a viable option, as it increases the risk of exposure to customers of a possible interruption during the coldest days of the year.[75]

In order to support forecast customer demand, KEDNY proposed to add two additional vaporizers to the Greenpoint site, which are named Vaporizers 13 and 14. These vaporizers would run one at a time, not simultaneously, and each can vaporize LNG into the

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[71] See Appendix 4 to this Reply Statement for the Companies' response to information request SANE-26, p. 2.

[72] 2014 NYC Fire Code §2707.10.1.

[73] See, e.g., SEP Initial Statement, pp. 9 – 10.

[74] T. 4323.

[75] Ex.62, pp. 109 – 110.

Company's gas transmission system at 2,500 Dth/hr, for a total of 60,000 Dth per day. The only other potential short-term supply solution to provide comparable supply, a CNG injection facility, would require 143 CNG trailers to match the proposed output of Vaporizers 13 and 14.[76]

The proposed LNG truck loading/unloading station and portable LNG permitting work are reliability projects that provides and alternate source of LNG and the capability to transfer LNG in the event of an unplanned outage or emergency at the LNG facilities.[77] If this possible, but unexpected situation were to occur, the Companies could have LNG delivered via truck to on-system injection points. These projects were identified as critical alternatives during the Greenpoint Flood Study and would help to ensure the continued ability to meet customer demand. Staff acknowledges that the transportation of LNG via truck is not permitted.[78] However, because the LNG facilities cannot be taken out of service to be inspected, alternatives should be developed to explore options available to ensure that the Companies can provide reliable service to customers on the coldest winter days.

Finally, the Long-Term Capital Capacity Projects include several reliability capital projects that various parties oppose: (1) the Elmhurst Reliability Project; (2) Riverhead Transmission Main; (3) Southeast Suffolk Infrastructure – Phase 1 & 2; and (4) Northwest Nassau Transmission Main & Control Valve – Phase 3 for KEDLI.

The Companies stated in their initial testimony that the Elmhurst Reinforcement and Reliability project, the Riverhead Transmission project and the Southeast Suffolk project are required to support new customer demands. These projects are needed to meet customers' supply and reliability needs in constrained areas of the gas network. The Northwest Nassau Transmission project is a three-phase transmission reliability project to down rate three transmission pipelines due to their age and condition to increase reliability.

5.3.b Selection of the Independent Consultant

AOE and Woodard request changes to the selection process for the independent consultant. Woodard expresses concern that the Companies will have a role in selecting the

[76] T. 4575.

[77] T. 4573 – 4574.

[78] 2014 NYC Fire Code §2707.10.1.

consultant.[79] Woodard wants the selection process to only begin after the Commission issues an order adopting the terms of this Joint Proposal.[80] AOE and Woodard both request that the consultant be selected through a process that includes members of the public.[81] Finally, both AOE and Woodard state that the consultant must also be an expert in the engineering of alternative energy systems.[82]

The Joint Proposal's provisions regarding the selection of an independent consultant are reasonable and should be adopted. They provide that the consultant will "be selected by Staff." This is an accurate statement, as the intention is to ensure review of the Long-Term Capital Capacity Projects by an entity independent of the Companies. The language in the Joint Proposal regarding "Staff and the Companies [commencing] the consultant selection process immediately upon the submission of this Joint Proposal" should not be understood as involving the Companies in the actual selection of the independent consultant. Staff recognizes, however, that the language could have been more clearly stated. This language was intended to reflect that, once Staff has chosen an independent consultant, there is work that needs to be done to finalize that selection, including developing the terms of the engagement. As the Joint Proposal specifies that the independent consultant "will work at the direction of Staff" but will be "engaged," i.e., paid, by the Companies, the terms of the engagement necessarily entail a collaboration between Staff, the Companies, and the chosen independent consultant. Staff expects that the terms of the engagement will be set forth in a multi-party contract between the Department, the chosen independent consultant, and the Companies. Such an arrangement is commonly used when a consultant performs a management audit of a utility.[83]

Regarding when the selection process commences, there is no impediment to Staff and the Companies performing what amounts to administrative work of devising the terms of the engagement with the chosen consultant prior to the Commission issuing an order regarding the Joint Proposal. In past cases, joint proposals have included actions to be undertaken in the

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79 Woodard Initial Statement, p. 3.

80 Woodard Initial Statement, p. 3.

81 AOE Initial Statement, p. 3; Woodard Initial Statement, p. 3.

82 AOE Initial Statement, p. 3; Woodard Initial Statement, p. 4.

83 See, e.g., Case 16-M-0001, Comprehensive Management and Operations Audit of Central Hudson Gas & Electric Corporation, Signed Agreement among Central Hudson Gas & Electric Corporation and Overland Consulting and NYSPSC (May 10, 2017).

period between the submission of a joint proposal and the Commission's order addressing said proposal.[84] Such provisions are not meant to get ahead of the Commission's order, but merely to address particular timing issues and ensure that the efforts anticipated to be undertaken after the Commission's order can proceed without delay. This is the case with the selection of the independent consultant here. The Companies have asserted a need for the Long-Term Capital Capacity Projects by particular dates. By advancing the terms of engagement for the selected independent consultant in the interim between the filing of the Joint Proposal and the Commission's order regarding the Joint Proposal, this allows the selected independent consultant to be ready to begin reviewing the Long-Term Capacity Projects, as soon as needed. Moreover, Staff anticipates that any contract with the independent consultant would include a clause providing that it is dependent on Commission adoption of the relevant terms of the Joint Proposal, and that any modification of those terms may require the consideration of amendments to the contract between the independent consultant, the Department, and the Companies.

With regard to a selection process that includes members of the public, Staff offers that such a modification is not necessary, nor is it reasonably likely to create a superior outcome. The Joint Proposal sets out clear requirements for the consultant. Specifically, it specifies that "[t]he independent consultant(s) shall be nationally or regionally recognized individual(s) or firm(s) in the area of gas engineering and possess the requisite experience in planning and constructing natural gas distribution infrastructure so as to be qualified as an expert to analyze the need for the Companies' Long-Term Capital Capacity Projects."[85] Referring to management audits as an example again, while they generally include the issuance of a request for proposals prior to selection, the selection process is completed solely by Staff and the Commission without a public comment process. In the case of consultants conducting management audits, and the independent consultant at issue here, the costs of the consultant are paid by the utility and recoverable in rates. A recent example of the Department selecting an entity to conduct certain tasks while the utility pays for it, is the monitor presently reviewing the

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[84] See, e.g., 2016 Rate Order, Attachment 1 (Joint Proposal), pp. 112 – 113 (ESCO Collaborative to begin prior to issuance of the rate order), p. 117 (Power Generation Collaborative to begin prior to issuance of the rate order).

[85] Joint Proposal, p. 44.

Companies' obligations in Case 19-G-0678.[86] With regard to the monitor, the Companies are paying the costs, but not recovering those costs from customers. With regard to the monitor, there was no requirement for public comment prior to the selection of the monitor. Furthermore, neither AOE or Woodard explain how they propose that members of the public be involved in the selection of the independent consultant. The selection of a consultant is not a rule making. Accordingly, for example there is no requirement to solicit public comment. The selection of a qualified consultant to assess the need for the Long-Term Capital Capacity Projects is a task within the expertise and purview of the Department.

With regard to requirements regarding the selected independent consultant's areas of expertise, it is important to keep in mind the scope of the review for the consultant set forth in the Joint Proposal. Specifically, the consultant is to perform "an independent assessment of the need for these projects over the term of the rate plans."[87] The assessment includes a review of "alternative options, GHG emissions, and feedback from the public." The review of those issues, however, is to be done to assess whether the Long-Term Capital Capacity Projects are needed to ensure safe, adequate, and reliable service "over the term of the rate plans." The consultant is not performing an assessment of long-term changes to the Companies' operations.

Thus, it is appropriate to ensure that, first and foremost the independent consultant "be nationally or regionally recognized individual(s) or firm(s) in the area of gas engineering and possess the requisite experience in planning and constructing natural gas distribution infrastructure so as to be qualified as an expert to analyze the need for the Companies' Long-Term Capital Capacity Projects." Nevertheless, Staff does understand that, to appropriately assess the need for the Long-Term Capacity Projects versus viable alternatives, the consultant should have broad expertise in the operation of energy efficiency and demand response programs, and transitions of energy systems, including the impacts of electrification of heating load for both the gas and electric systems.

For the reasons stated above, the Joint Proposal's recommendations regarding the selection of an independent consultant to conduct an assessment of the Long-Term Capital Capacity Projects are reasonable and should be adopted.

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[86] 19-G-0678, supra, Monitor Protocol Agreement (filed March 6, 2020).

[87] Joint Proposal, p. 42.

5.b.c Comment Period Regarding Companies' Reports

The Joint Proposal recommends that "[m]embers of the public will have thirty days from the date of submission of a report to submit comments. During the thirty-day comment period the Companies will conduct at least one stakeholder meeting to hear community feedback about the project." Further, the Joint Proposal recommends that the independent consultant be required to submit its "complete final public assessment of the Companies' projects that consider and addresses public comments" within 45 days of the Companies' filing of their initiating report.

Some parties expressed that the 30 day comment period and the 15 day period thereafter for the independent consultant to finalize and submit the final assessment are not long enough.[88] Additionally, NYC states that the Joint Proposal "is vague as to what opportunities are available for stakeholder involvement in the review of such projects, for example, whether a formal discovery process would be in place."[89]

The 30 day comment period and total 45 day period in which the independent consultant would finalize and submit its final assessment are sufficient given the context of this assessment as incremental to the review already conducted over the prior two years these rate proceedings have been pending. Furthermore, the Joint Proposal is not vague regarding opportunities for stakeholder involvement. The Joint Proposal explicitly provides for stakeholder involvement in two ways, first, through the 30-day comment period, thus stakeholders can submit comments. Second, the Joint Proposal recommends that the Companies be required to "conduct at least one stakeholder meeting to hear community feedback about the project." Thus, the Joint Proposal plainly, and appropriately, provides for discovery from intervening parties at this supplemental stage of review of the Long-Term Capital Capacity Projects.

It is important to note that none of the projects to be assessed are newly proposed. The Companies identified each of them as part of their filings in these rate proceedings. Staff and intervening parties have had ample opportunity to conduct discovery, submit testimony, conduct cross-examination, and explain their positions in briefs regarding the projects during the

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88 See, NYC Initial Statement, p. 10; Woodard Initial Statement, p. 5.

89 NYC Initial Statement, p. 10.

litigation phase of these proceedings. Additionally, parties have had the opportunity to address these projects in their Initial and Reply Statements regarding the Joint Proposal. This shows that parties do not need more than an additional 30 days to provide comments regarding Long-Term Capital Capacity Project filings. Furthermore, the Companies have asserted that these projects are required to ensure that they can provide customers with reliable service during periods of peak customer demand in the coming winters. As explained more fully in the Section III.5.b.d, below, the independent consultant's engineering assessment is a specific inquiry into the reliability need for these projects, incremental to the review already conducted throughout these proceedings. Thus, in order to ensure that this supplemental review phase proceeds expeditiously, the timeframes for comments and the submission of the independent consultant's final assessment are sufficient, reasonable, and should be adopted.

5.b.d Independent Consultant's Engineering Assessment

The Joint Proposal sets forth detailed strictures controlling the independent consultant's engineering assessment of the reliability need for the Long-Term Capital Capacity Projects. Further, it provides that the independent consultant will work at the direction of Staff, and that the independent consultant's final assessment will not be subject to review during the term of the rate plans.[90] Several parties opposed various aspects of the Joint Proposal's recommendations regarding the independent consultant's engineering assessment, including: the use of the Companies' forecasts of peak customer demand;[91] the perceived limited role of Staff in overseeing the independent consultant's work;[92] and the recommendation that the independent consultant's final assessment would not be required to be approved or rejected in an order of the Commission.[93]

With regard to the forecasts of peak customer demand, the Joint Proposal requires the assessment of the need for the Long-Term Capital Capacity Projects to meet "a reasonable forecast of customers' peak demand, based on the Companies' most recent forecast available."[94]

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90 Joint Proposal, pp. 44 – 47.

91 Woodard Initial Statement, pp. 4 – 5.

92 NYC Initial Statement, pp. 10 – 11.

93 AARP Initial Statement, pp. 1, 4; EDF Initial Statement, pp. 9 – 11; NYC Initial Statement, p. 11; AGREE Initial Statement, pp. 16 – 17.

94 Joint Proposal, p. 45.

Woodard expresses concern about the reliability of the Companies' forecasts and instead recommends that the assessment consider peak customer demand forecasts made by third-parties, such as the forecasts included in the Synapse Report.[95]

Staff notes that the language of the Joint Proposal reflects that the independent consultant will necessary have to assess the reasonableness of the forecast of customers' peak demand provided by the Companies. The Joint Proposal does not provide for simply taking the Companies' forecasts as the final word without analysis. It requires that the need for the Long-Term Capital Capacity Projects be assessed against "a reasonable forecast." That the reasonable forecast should be based on the Companies' most recent forecast available only identifies the starting point for the inquiry. If the independent consultant reviews the Companies' provided forecast and assesses that they are not reasonable, the independent consultant would be expected to make adjustments necessary to arrive at a reasonable forecast of customers' peak demand. Accordingly, the process set forth in the Joint Proposal provides for a check against the Companies' potentially overstating the forecasts customers' peak demand.

Additionally, Staff has explained its concerns with the forecasts included in the Synapse Report in Section III.5.3.a, above. That said, the Joint Proposal does not preclude the independent consultant from reviewing third-party forecasts in ensuring its assessment reflects a reasonable forecast of peak customer demand. Accordingly, the Joint Proposal's provision regarding the forecast of peak customer demand is reasonable and should be adopted without modification.

With regard to the role of Staff in overseeing the work of the independent consultant, NYC asserts that, while the Joint Proposal states that the independent consultant will work at the direction of Staff, the Joint Proposal "lacks further details on Staff's exact role in the independent consultant's analysis, including, for example, whether the consultant's findings would be subject to some form of internal review by Staff prior to being submitted to the Commission."[96] First, one point of clarification, "Staff" in this post-rate order phase of review means Staff of the Department of Public Service more generally, and should not be understood to mean solely members of Trial Staff in these rate proceedings. Second, the Joint Proposal sets

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[95] Woodard Initial Statement, pp. 4 – 5.

[96] NYC Initial Statement, pp. 10 – 11.

forth specific criteria that the independent consultant is required to use in assessing the need for the Long-Term Capital Capacity Projects. To provide further clarity, Staff anticipates assuming an active role in overseeing the work of the independent consultant to ensure that the assessment is conducted in accordance with the criteria set forth in the Joint Proposal. To that end, Staff anticipates having the opportunity to participate in any meetings between the independent consultant and the Companies, and reviewing any materials supplied by the Companies to the independent consultant. Further, Staff anticipates engaging in discussions with the independent consultant to ensure that the assessment is conducted in a thorough manner and results in a final assessment based on reasonable factual support. Accordingly, the Joint Proposal's recommendations of criteria to be used by the independent consultant in conducting the assessment of the Long-Term Capital Capacity Projects and the statement that the consultant will "work at the direction of Staff" are clear, sufficient, and reasonable provisions and should be adopted.

With regard to the Joint Proposal's recommendation that the independent consultant's final assessment of the need of the Long-Term Capital Capacity Projects not be subject to review during the term of the rate plans, AARP, EDF, AGREE, and NYC recommend modifications.

AARP and AGREE assert that the Joint Proposal allows the Companies to contest the final assessment of the independent consultant, but not Staff or other parties.[97] This is not accurate. The Joint Proposal only allows the Companies "to have the Commission reconsider the independent consultant's assessment that a project is not necessary in a future rate proceeding on the basis of changed circumstances …" (emphasis added).[98] This explicitly precludes the Companies from challenging the independent consultant's assessment during the term of these rate plans. It merely recognizes that a project that is ultimately not necessary at this time, may become necessary at some future point due to changed circumstances.

Additionally, AARP, AGREE, NYC, and EDF recommend that the independent consultant's final assessment be subject to Commission review and approval or rejection. AGREE asserts that the Joint Proposal requires the Commission to "pre-approve these projects

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97 AARP Initial Statement, p. 4; AGREE Initial Statement, p. 16.

98 Joint Proposal, p. 47.

and hand final decision-making over to the consultant."[99] AGREE, AARP, and NYC claim there is a need, for due process or other reasons, for the Commission to make a determination regarding the Long-Term Capital Capacity Projects after the independent consultant tenders its final assessment.[100] EDF, while supporting the Joint Proposal, asserts that the process could be approved by having the Commission review the independent consultant's final assessment and either approving or disapproving its conclusion before the Companies would be eligible for cost recovery for a Long-Term Capital Capacity Project.[101]

These parties assertions ignore the context of the independent consultant's assessment in these rate proceedings. As explained above, the Long-Term Capital Capacity Projects have been the subject of discovery, testimony, and argument in briefs throughout the litigation phase of these proceedings. There is ample evidence in the record for the Commission to find that the Companies have justified the need to proceed with these projects. As such, the Commission has sufficient basis to incorporate these projects in the capital expenditure budgets authorized in the rate order. However, the Joint Proposal recognizes that, even with the extensive review already conducted, certain parties oppose the projects. Thus, the Joint Proposal sets forth conditions cabining the Companies' ability to recover the costs of the projects during the term of the rate plan, including an incremental process to have an independent consultant confirm the need for these projects. This process does not supplant the Commission's role, nor provide a third-party with the Commission's authority to determine cost recovery. Instead, the Joint Proposal and the evidence submitted heretofore in these rate proceedings provide the Commission with reasonable basis to authorize cost recovery for the Long-Term Capital Capacity Projects, and condition that cost recovery on two subsequent requirements, i.e., the independent consultant's assessment and the Companies' attainment of the Capacity Demand Metrics. Furthermore, while Staff does not recommend that there is a need for the Commission to approve or reject the final assessment of the independent consultant, Staff recognizes that the Joint Proposal cannot and does not preclude the Commission from reviewing the final assessment for any or all of the Long-Term Capital Capacity Projects if the Commission deems it appropriate to conduct that review.

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[99] AGREE Initial Statement, p. 17.

[100] AGREE Initial Statement, p. 17; AARP Initial Statement, p. 4; NYC Initial Statement, p. 11.

[101] EDF Initial Statement, pp. 9 – 11.

Ultimately, it twists logic to suggest that, by providing further process than necessary or usual, the Joint Proposal somehow precludes parties from some rights they have to particular participation or process. Accordingly, the provisions of the Joint Proposal regarding the independent consultant's assessment of the Long-Term Capital Capacity Projects are reasonable and should be adopted without modification.

5.3.1 Metropolitan Reliability Infrastructure Project

The Joint Proposal halts construction of and precludes recover of costs associated with Phase 5 of the Metropolitan Reliability Infrastructure (MRI) project. It provides a process by which KEDNY must petition the Commission, and receive authorization from the Commission, prior to restarting construction on Phase 5 of the MRI project. The Joint Proposal does, however, recommend including the costs of Phase 1 through Phase 4 of the MRI project in rate base. Multiple parties oppose the inclusion of Phase 1 through Phase 4 of the MRI project in rate base.[102]

As explained in Staff's Initial Statement, the project was originally proposed in the 2016 Rate Cases.[103] The MRI project reinforces the backbone of KEDNY's Brooklyn gas system, a.k.a., the "Brooklyn Backbone." In the 2016 Rate Cases, KEDNY stated that MRI project would increase supply diversity, pressure support, outage contingency, operational flexibility and operational autonomy by reducing dependence on gas from Con Edison at Newtown Creek. In addition, through the Brooklyn Backbone, MRI would immediately improve reliability by having the ability to move gas from any directly connected supply point across KEDNY's system; thereby improving system reliability by reducing reliance on any individual gate deliveries and allow the Backbone to be taken out of service for system integrity work, while still maintaining gas operations. The MRI project was also planned to maximize existing and proposed upstream capacity that would better position KEDNY to meet customers' long-term supply needs over the next 15 to 20 years.[104] Recognizing the actualization of these benefits through completion of Phase 1 through Phase 4, the Joint Proposal reflects recovery of the cost for Phases 1 through 4 in rate base.

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[102] NCA Initial Statement, p. 1; SEP Initial Statement; Woodard Initial Statement, pp. 2 – 3.

[103] 2016 Rate Cases; Staff Initial Statement, p. 67.

[104] Staff Reply Brief, p. 35.

Because MRI Phases 1 through 4 were constructed in accord with the plans underlying the capital expenditure budgets adopted in the 2016 Rate Order, it is reasonable and appropriate to include the costs of MRI Phase 1 through Phase 4 in rate base at this time. Phase 1 through Phase 4 provide many of the reliability and safety benefits identified above, even without the completion of Phase 5. As explained in Staff's Reply Brief:

> At present, the completed portions can be used as a very expensive distribution main. Fully completing Phases 1 through 4 will provide real reliability and safety benefits to KEDNY's gas system, and thus to its customers. Additionally, the safety benefits accrue not just to customers but all residents of KEDNY's Brooklyn service territory. Accordingly, the Commission should allow KEDNY to complete Phases 1 through 4 of the MRI project. To do otherwise would saddle KEDNY, and its customers, with a large investment that would not provide any reliability benefits, and at best function as an oversized distribution main.[105]

For these reasons, the Commission should adopt the terms of the Joint Proposal, including those relating to the MRI project without modification.

5.3.2 Capacity Demand Metrics

NYC states that it is generally supportive of the strategies described for the Capacity Demand Metrics.[106] However, NYC argues that that there are three specific Capacity Demand Metrics which have target levels set too low, and that the Capacity Demand Metrics do not go far enough in incentivizing the Companies to promote a rapid transition off fossil fuels.[107] NYC also argues that the targets for the Energy Efficiency Capacity Demand Metric, Demand Response Capacity Demand Metric, and Electrification Capacity Demand Metric are each set too low.[108] Additionally, AOE, while recognizing that requiring the Companies to meet certain Capacity Demand Metrics to obtain rate recovery for these projects is a step in the right direction, states that the metrics are not rigorous enough.[109]

Addressing the general critique that the Capacity Demand Metrics do not sufficiently incentivize the Companies to meet New York State's energy policy goals, NYC misunderstands the purpose of the metrics. The Capacity Demand Metrics are intended to

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[105] Staff Reply Brief, pp. 36 – 37.

[106] NYC Initial Statement, p. 6.

[107] NYC Initial Statement, p. 6.

[108] NYC Initial Statement, pp. 6 – 7.

[109] AOE Initial Statement, pp. 1 – 2.

establish a minimum baseline of activity in these areas to ensure that the Companies are meeting minimum standards. If the Companies fail to meet these minimum standards the Capacity Demand Metrics impose a penalty in the form of making a significant portion of the Long-Term Capital Capacity Project costs unrecoverable for the duration of the rate plan. Earnings Adjustment Mechanisms (EAMs), on the other hand, are intended to incentivize the Companies to maximize program efficiency and beneficial outcomes, particularly those about which NYC expresses concern. The Companies will be incentivized to maximize effectiveness of their energy efficiency program expenditures through the Joint Proposal's Energy Efficiency Share the Savings metric. The Companies will be incentivized to maximize participation in the Companies demand response program, referrals to new other utilities' electrification programs, and other activities such as developing NPAs which may reduce supply capacity needs through the Peak Reduction EAM.

Turning to NYC's concern regarding specific Capacity Demand Metric targets, for Energy Efficiency, NYC notes that the Companies need only meet the levels required by the 2020 NE:NY Order.[110] That the Energy Efficiency Capacity Demand Metric targets are set at the levels required by the 2020 NE:NY Order is by design and appropriate. As discussed above, the Capacity Demand Metric targets present a minimum baseline, which if not achieved by the Companies will result in a penalty, whereas the Joint Proposal incentivizes energy efficiency program performance above and beyond the levels required by the 2020 NE:NY Order through the Energy Efficiency Share the Savings EAM.

NYC also notes that the Joint Proposal is unclear as to whether it allows for the Energy Efficiency Capacity Demand Metric targets to be updated in the event that the Commission adopts incremental energy efficiency targets during the term of the rate plan. NYC asserts that the Energy Efficiency Capacity Demand Metric targets should be updated in such event.[111] In response, the Energy Efficiency Capacity Demand Metric targets are based on the Commission's determinations, both related to the Companies' forthcoming annual Demand Side Management filings and the 2020 NE:NY Order. The Joint Proposal specifically states that targets will be approved by the Commission as part of the Companies' annual Demand Side

[110] NYC Initial Statement, p. 6.

[111] NYC Initial Statement, pp. 6 – 7.

Management filings.[112] Further, the Joint Proposal recognizes that the 2020 NE:NY Order provides for an interim review to commence in 2022. If, as a result of that review, the Commission revises energy efficiency targets, then those revised targets would be reflected in the Energy Efficiency Capacity Demand Metric targets.

For the Demand Response Capacity Demand Metric, NYC states that the Capacity Demand Metric target is determined using a baseline enrollment amount derived from participation in the Companies' capacity-related demand response program during the 2020-2021 winter season, plus an annual growth rate of 10%.[113] NYC argues that this 10% escalation rate is not ambitious enough, and points to the 1,150% projected growth in KEDNY's Demand Response Demonstration (DRD) project as evidence.[114] NYC's argument is misleading in multiple ways.

First, NYC conflates the Demand Response Capacity Demand Metric's annual 10% growth rate with the DRD project's multi-year 1,150% growth rate.[115] NYC's computed growth rate of 1,150% is based on growth of the DRD project from 80 Dth/hr to 1,000 Dth/hr. NYC cites its own Energy Efficiency Panel's testimony, which in turn relies on information provided by the Companies on Schedule 5 of Ex. 39. The cited exhibit makes clear that the 1,000 Dth/hr figure was forecast by the Companies to be achieved by 2024 in the KEDNY service territory. Thus, the annual growth rate suggested from growing the distribution-level demand response program from an 80 Dth/hr demonstration project scale in 2020 to a 1,000 Dth/hr full-scale program in 2024 is 66% annual growth. Even this 66% annual growth rate is merely a forecast. The 1,000 DTh/hr target is a Company-provided forecast for 2024, and it will inevitably vary to some degree. Staff recognized, in its initial testimony, that the load relief achieved may vary. In light of the potential variability in the forecast, Staff argued that the distribution-level demand response program costs should be recovered on an as-incurred basis

[112] Joint Proposal, p. 48.

[113] NYC Initial Statement, p. 7.

[114] NYC Initial Statement, p. 7.

[115] Note that the 1,150% growth rate for the DRD project is a forecast of growth over several years for a program graduating from a demonstration project to a full-scale program.

through a surcharge instead of including such forecast costs in base rates as proposed by the Companies.[116]

Second, NYC conflates forecast growth in the distribution-level demand response programs with growth in the capacity-based demand response programs. The distribution-level demand response program and the capacity-related demand response program, despite both being demand response programs, are two separate and distinct programs, and growth in one program is not necessarily indicative of growth in the other. In fact, customers must currently choose whether to participate in either the capacity-related demand response program or the distribution level demand response program. Therefore, if both programs ultimately compete for the same pool of participants, growth in one program could hinder growth in the other program. As such, it is inappropriate to apply the observed growth rate from the distribution-level demand response programs to the targets for the Demand Response Capacity Demand Metric.

Third, NYC conflates growth in the distribution-level demand response program moving from demonstration project scale to full-program scale with growth of the capacity-based demand response program, which, while needing to grow rapidly, is already operating as a full-scale program. As explained above, the 1,150% growth rate for the DRD project, reflects the project ramping up from demonstration scale to a full-scale program. There is a significant amount of growth on a percentage basis for bringing any project from one phase to another, and the pace of program growth across phases likely cannot be sustained within the next phase. For example, the DRD project experienced an infinite growth rate in scaling-up from non-existence, i.e., zero Dth/hr, to demonstration project scale, i.e., 80 Dth/hr.

Past experience with electric demand response programs, that is, full-scale programs that are not undergoing major transformations in program scale, suggests that established demand response programs grow at roughly 10% annually. Of course, there is some variation from year to year and among utilities. For example, program growth is often inversely related to the number of demand response events were called in the prior year. Absent having historical growth rates from similar capacity-based gas demand response programs operating as full-scale programs, the generic 10% annual growth rate observed for full scale electric demand

[116] T. 694 – 695.

response programs is the most reasonable basis for establishing a minimum growth rate applicable to the Demand Response Capacity Demand Metric.

For the Electrification Capacity Demand Metric, NYC argues that the Companies must only refer a relatively small number of would-be customers per year, which increases by only 10 per year per Company throughout the Rate Plan. NYC states that the Joint Proposal requires only limited effort on the part of the Companies to refer would-be customers to electrification programs. NYC however, does not, however, offer any evidence supporting the assertion that the recommended targets are insufficient. Moreover, NYC does not propose any alternative targets with justification explaining why those, presumably higher targets, would be reasonable.

The Electrification Capacity Demand Metrics recommended in the Joint Proposal are reasonable. They were not considered as part of Con Edison and LIPA's anticipated efforts when designing their heat pump programs. Accordingly, the Electrification Capacity Demand Metrics are necessarily additive and therefore can only provide a benefit to the State's efforts to increase the penetration of heat pumps in NYC and on Long Island. Therefore, it is illogical to argue that they are insufficient. Additionally, the number of referrals the Companies must make of would-be customers to heat pump programs operated by Con Edison and LIPA is necessarily bound by the number of customers requesting new gas service within the Companies territories. The Companies run the risk of not meeting these Capacity Demand Metric targets even if they refer 100% of all feasible would-be customers to other utilities' heat pump programs if an insufficient number of feasible would-be customers apply for gas service within a given year.

Finally, the Capacity Demand Metrics must all be considered together, as the Company must meet them all to get full recovery for the Long-Term Capital Capacity Projects. For example, during RY2 and RY3, if the Companies miss even a single metric, they forego a minimum of 30% of the carrying costs for the Long-Term Capital Capacity Projects for that year. For all of the reasons above, the Capacity Demand Metrics and associated targets in the Joint Proposal are reasonable and the Commission adopt them.

12 Filing for New Rates

12.2 Following the Term of the Rate Plan

The Joint Proposal identifies a Stayout Period, the period after the end of RY3 until the earlier of March 31, 2024 or the date new Commission-approved rates become effective. The Companies can file for new rates to be effective during this period, however, the Joint Proposal provides certain provisions that apply should the Companies refrain from requesting new rates to be effective prior to April 1, 2024. Primarily, the Joint Proposal identifies the rates that customers will be charged during the Stayout Period that reflect the termination of the deferral credits used to moderate the impact of the revenue requirements during RY1, RY2, and RY3.

The rates to be charged during the Stayout Period and the bill impacts are included in Schedule 4.3 of Appendices 3 and 4 for KEDNY and KEDLI, respectively. The Joint Proposal recommends no changes to revenue requirements for the Stayout Period. However, the Joint Proposal recognizes that the deferral credits being used for rate moderation during the term of the rate plans will not be available for further rate moderation after the end of RY3. Accordingly, the Joint Proposal specifies different base delivery rates for the Stayout Period reflecting RY3 revenue requirements without using deferral credits to offset those revenue requirements.

Additionally, Section IV.12.2 of the Joint Proposal includes two additional provisions that would take effect only during the Stayout Period. First, the Joint Proposal allows the Companies to reconcile net utility plant and depreciation expense, up to forecast capital expenditure level caps specified in Schedule 5 of Appendices 1 and 2 for KEDNY and KEDLI, respectively. The Companies could recover reconciled amounts through the Delivery Rate Adjustment. Second, the Joint Proposal provides for treatment of any Commission-approved energy efficiency spending, including, but not limited to, their authorized NE:NY budgets, not otherwise recovered in rates. The Joint Proposal allows the Companies to surcharge customers for the costs of Commission-approved energy efficiency programs necessary to meet Commission-specified energy efficiency targets for the Stayout Period. Importantly, these provisions preclude the Companies from collecting any money through the two surcharges, or deferring the amounts for future recovery, to the extent the recoveries would cause the Companies' actual returns on common equity to exceed 8.8% during the Stayout Period.

NYC asserts that there are significant, indeed "unconstrained," bill impacts for KEDNY customers in the Stayout Period, while acknowledging that the bill increases are the result of credits no longer being used to offset revenue requirements.[117] NYC asserts that the rate increases projected for the Stayout Period should not go forward without examination. Further, NYC asserts that the Joint Proposal erred by not including provisions that would encourage the Companies to file for new rates to be effective for the Stayout Period.[118] Additionally, SEP claims that there is a "ramp up" of spending on infrastructure in the Stayout Period. Further, SEP notes that the credits being used to offset revenue requirements during RY1, RY2, and RY3 end at the end of RY3, and thus customers' bills will reflect the full revenue requirement in RY4.[119]

The Joint Proposal's provisions for the Stayout Period reasonably provide the opportunity to forestall increases in revenue requirements for another rate year. NYC's assertion, that the Joint Proposal allows for rate increases that could some how be ameliorated by conducting another rate proceeding in advance of the Stayout Period, is incorrect. The Joint Proposal's recommended rates for the Stayout Period are based on the same revenue requirements underlying RY3 rates. That is, the Joint Proposal does not recommend modifying base rates to reflect any increased cost recovery for the Companies for the Stayout Period. The only change in base rates from RY3 to the Stayout Period is the reflection of the simple fact that the deferral credits being used to offset revenue requirements in RY1, RY2, and RY3 will have been exhausted by the end of RY3.

The Commission is considering this rate plan while the Companies' service territories continue to address the impacts of the COVID-19 pandemic. Accordingly, it is reasonable to utilize available deferred credits to minimize the impacts on customers' bills in the near future. The Joint Proposal also identifies reasonable and necessary costs of providing service that the Companies should appropriately be able to recover from customers. This Joint Proposal does allow the full impact of those costs to be delayed until after the end of RY3, allowing customers to make progress toward recovering from the COVID-19 pandemic. However, the Companies are required to provide safe and adequate service, and the revenue

[117] NYC Initial Statement, pp. 11 – 12.

[118] NYC Initial Statement, p. 12.

[119] SEP Initial Statement, p. 12.

requirements set forth in this Joint Proposal enable them to do that. NYC and SEP appear to suggest that it is somehow a flaw to have rates that merely reflect the Companies costs to provide service to customers. Yet, having rates that reflect the costs of service is the hallmark of utility rate regulation. Accordingly, the rates identified in the Joint Proposal for the Stayout Period are reasonable and should be adopted.

SEP also asserts that the Joint Proposal provides for a "ramp up" of spending on infrastructure in the Stayout Period. This appears to reference the provision allowing the Companies to reconcile net utility plant and depreciation expense, up to forecast capital expenditure level caps specified in Schedule 5 of Appendices 1 and 2 for KEDNY and KEDLI, respectively. The Companies could recover reconciled amounts through the Delivery Rate Adjustment. Regarding the capital budgets in the Stayout Period, when compared to the capital budgets for RY3, they reflect the impacts of inflation and a post-pandemic return to necessary mandated and reliability spending, in categories such as leak-prone pipe removal, pipeline integrity work, increased work required by city and state construction, and storm hardening work.[120] Thus, SEP is incorrect to say that there is any "ramp up" of spending on infrastructure during the Stayout Period.

Moreover, Staff has reviewed the capital expenditure budgets for the Stayout Period and understands them to be reasonable estimates of what the Companies will need to continue to provide safe and adequate service to customers. Additionally, while SEP specifically points to customer connections, that budget refers to costs for providing service to customers who request it, which the Companies are required by law to do. Should the forecasted customers not materialize, the Companies would not make the customer connections capital expenditures and, therefore, there would be no costs to recover from customers.

As noted above, there is an additional surcharge available during the Stayout Period for Commission-authorized energy efficiency spending not otherwise recovered in rates. This provision limits the Companies recovery only to spending that the Commission has authorized, or will separately and explicitly authorize. Thus, the surcharge is limited by Commission action. While Staff notes that neither NYC nor SEP specifically opposed this position, NYC did assert that bill impacts in the Stayout Period were "unconstrained." As

[120] Appendices 1 and 2, Schedule 5.

explained, the Stayout Period provides for: base rates that reflect RY3 revenue requirements with no increases to cost of service, recovery of carrying charges and depreciation expense related to identified capital expenditures that have closed to plant in service, i.e., would enter rate base, in the Stayout Period; and recovery of Commission-authorized energy efficiency costs. Accordingly, NYC's characterization of rates in the Stayout Period as unconstrained is plainly false.

Moreover, the Stayout Period provides a number of benefits for customers. First, the Companies are precluded from using the two surcharges if the recoveries would increase their ROEs above 8.8%. There is no guarantee that, if the Companies filed new rate proceedings for the Stayout Period, those rate proceedings would result in authorized ROEs of 8.8% or below. Second, if the Companies are earning in excess of their authorized returns, the earning sharing mechanisms are triggered. This requires sharing of earnings in excess of 50 basis points above the allowed returns with customers. Indeed, in the later tiers of the earning sharing mechanism, the Companies are required to use 50% of their share of earnings to write down regulatory assets related to site investigation and remediation work. These are regulatory assets that would normally be recovered from customers. Third, although one cannot know what revenue requirement increases the Companies would request in rate proceedings for the Stayout Period, experience suggests that such requests will not be as favorable for customers as the provisions for that same period in the Joint Proposal.

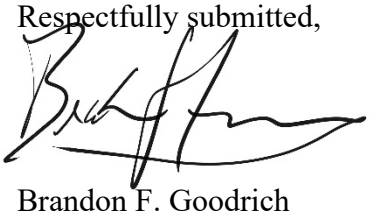
Finally, NYC recommends not just jettisoning the provisions that enable the Stayout Period, but instead imposing conditions incentivizing the Companies to file for new rates to be effective immediately following the conclusion of RY3.[121] Put another way, NYC is asking to incent the Companies to file requests for rate increases sooner than they otherwise might. As NYC notes, such provisions have been utilized in prior joint proposals. However, such provisions should be considered in the unique contexts of a given rate plan. When assessing the rate plans recommended in this Joint Proposal, affording the Companies with limited provisions that potentially enable them to refrain from requesting rate increases for the Stayout Period provides benefits to customers, is therefore reasonable, and should be adopted.

[121] NYC Initial Statement, p. 12.

IV. CONCLUSION

For the reasons stated in Staff's Statement in Support of the Joint Proposal and in this Reply Statement, Staff recommends that the Commission adopt the terms of the Joint Proposal without modification.

Respectfully submitted,



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Nicholas Forst
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Dated: Albany, New York
June 14, 2021